STATE EMPLOYMENT AGENCY

Terms of Reference (ToR)

Labour and Employment Subsystem (LMAS)
Project Scope, Objectives and Deliverables

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1. Introduction

1.1 Document Purpose

This Terms of Reference (ToR) defines the scope, objectives, deliverables, timeline and governance structure for the Labour and Employment Subsystem (LMAS) project. The ToR serves as the foundational document that establishes the project boundaries and provides a shared understanding among all stakeholders about what the project will deliver, how it will be delivered and who is responsible for each component.

This document is intended for the State Employment Agency management, the Innovation and Digital Development Agency, the project team and all partner organizations involved in the LMAS project. It should be read in conjunction with the Business Requirements Document (BRD) and the Service Design Document (SDD), which provide detailed business and design specifications for the project.

1.2 Background

The State Employment Agency currently provides employment services through a network of regional offices across Azerbaijan. Citizens who need employment-related services such as unemployment registration, job search assistance or labor contract management must visit these offices in person. The current process is paper-based, time-consuming and limits accessibility for citizens outside of major cities.

In alignment with the national digital government transformation strategy led by the Innovation and Digital Development Agency, the State Employment Agency has initiated the LMAS project to digitize its core employment services. The project aims to create a digital platform that enables citizens to access employment services through online channels, reduces processing time and improves overall service quality.

1.3 Definitions and Abbreviations

Abbreviation	Definition
ToR	Terms of Reference
LMAS	Labour and Employment Subsystem
BA	Business Analyst
BRD	Business Requirements Document
FRD	Functional Requirements Document
SRS	Software Requirements Specification
SDD	Service Design Document
SLA	Service Level Agreement
KPI	Key Performance Indicator
SDLC	Software Development Life Cycle
UAT	User Acceptance Testing
GPP	Government Payment Portal
SSO	Single Sign-On
API	Application Programming Interface

2. Project Objectives

2.1 Strategic Goal

To transform the delivery of employment services in Azerbaijan by creating a digital platform that provides citizen-centered, life-event-based employment services through multiple digital channels, integrated with relevant government databases and aligned with national digital government standards.

2.2 Specific Objectives

ID	Objective	Description
OBJ-01	Digital service delivery	Enable citizens to submit employment service applications through digital channels (Telegram bot, web portal), reducing the need for physical office visits
OBJ-02	Process digitization	Digitize the end-to-end employment service process from application submission to result delivery, replacing the current paper-based workflow
OBJ-03	Multi-agency integration	Establish data exchange connections with 5+ government organizations (Social Protection Fund, Ministry of Education, Ministry of Labour) to enable automatic data verification
OBJ-04	Real-time monitoring	Build a management dashboard that tracks application volumes, processing times, SLA compliance and citizen satisfaction in real time
OBJ-05	Processing efficiency	Reduce average service processing time from 14 calendar days to 5 business days
OBJ-06	Citizen experience	Achieve citizen satisfaction score of 4.0 or higher (out of 5.0) within the first year of operation
OBJ-07	Service portfolio alignment	Ensure the new digital services are aligned with the existing service portfolio and compatible with the my.gov.az unified portal

2.3 Success Criteria

Criterion	Target
Digital adoption rate	At least 60% of employment service applications submitted through digital channels within 12 months
Processing time	Average processing time reduced to 5 business days or less

SLA compliance	At least 90% of applications processed within defined SLA targets
System uptime	Digital channels available at least 99.5% of the time
Citizen satisfaction	Average satisfaction score of 4.0 or higher from post-service surveys
Multi-agency integration	Data exchange operational with at least 3 government organizations at go-live

3. Project Scope

3.1 In Scope

Deliverable	Description
Digital application submission	Citizens can submit employment service applications through Telegram bot and web portal with guided document checklist
Automatic data verification	System verifies citizen data with integrated government databases (Social Protection Fund, Ministry of Education)
Application processing workflow	Digital workflow that routes applications to the responsible department, tracks status and records decisions
Real-time status tracking	Citizens receive notifications at each stage of application processing via Telegram and web portal
Monitoring dashboard	Management dashboard displaying application volumes, processing times, SLA compliance and KPI indicators
Multi-agency data exchange	Middleware layer for secure data exchange between LMAS and 5+ government organizations
Document management	Digital storage and management of all application-related documents
Integration with my.gov.az	Single sign-on access to employment services through the national government portal

3.2 Out of Scope

Item	Reason for Exclusion
Mobile native application	Development of a dedicated iOS/Android mobile application (future phase)
Employer portal	Full employer-facing portal for vacancy posting and candidate management (Phase 2)
Labor contract management	Digital signing and management of labor contracts (Phase 2)
Retraining program management	Digital management of vocational training program enrollment and tracking (Phase 3)
Legacy system migration	Migration of historical paper records into the digital system (separate project)
Hardware procurement	Procurement of servers, network equipment or office hardware (managed separately by IT department)

Organizational restructuring	Changes to the organizational structure of the State Employment Agency (policy decision)

3.3 Assumptions

ID	Assumption
A-01	API access to government databases will be granted by the Social Protection Fund and Ministry of Education before Phase 2 development starts
A-02	The Innovation and Digital Development Agency will provide technical standards and methodology guidelines for digital service design
A-03	The State Employment Agency management will assign a dedicated product owner who has authority to make decisions on business requirements
A-04	Citizen data required for automatic verification is available in digital format in the relevant government databases
A-05	The project team will have access to the ASAN Service infrastructure for physical document delivery integration

3.4 Constraints

ID	Constraint
C-01	The system must comply with the data protection and privacy regulations of the Republic of Azerbaijan
C-02	Development must follow the Agile/Scrum methodology with 2-week sprint cycles
C-03	All digital channels must support Azerbaijani language (Russian language support is a Phase 2 item)
C-04	The system must be compatible with the existing government IT infrastructure and security standards
C-05	Total project budget must not exceed the approved allocation without formal change request
C-06	Go-live must occur within the 12-month project timeline

4. Deliverables

4.1 Business Analysis Deliverables

ID	Deliverable	Description	Phase	Responsible	Document ID
D-01	Terms of Reference (ToR)	Project scope, objectives, timeline and governance	Phase 1	BA Lead	This document

		structure			
D-02	Business Requirements Document (BRD)	Business objectives, scope, stakeholder analysis and high-level requirements	Phase 1	BA Lead	BRD-LMAS-2026-001
D-03	Service Design Document (SDD)	Service journey, blueprint, channel strategy, SLA/KPI framework	Phase 1	BA Lead	SDD-LMAS-2026-001
D-04	Functional Requirements Document (FRD)	Detailed functional requirements with user stories and acceptance criteria	Phase 2	BA Lead	FRD-LMAS-2026-001
D-05	Software Requirements Specification (SRS)	Technical system requirements, integration specifications and data models	Phase 2	BA + Tech Lead	SRS-LMAS-2026-001
D-06	API Specifications (Swagger/Open API)	REST API endpoint definitions for internal and external integrations	Phase 2	BA + Dev Team	API-LMAS-2026-001
D-07	As-Is / To-Be Process Models (BPMN)	Visual process models for current and future service processes	Phase 1	BA Lead	BPMN-LMAS-2026-001
D-08	UAT Plan and Test Cases	User acceptance testing plan, test scenarios and execution report	Phase 3	BA Lead + QA	UAT-LMAS-2026-001

4.2 Technical Deliverables

ID	Deliverable	Description	Phase	Responsible
D-09	System Architecture	Technical architecture,	Phase 1	Tech Lead

	Document	technology stack, deployment model		
D-10	Database Schema Design	Data models, entity relationships, migration plan	Phase 2	Dev Team
D-11	Integration Middleware	Multi-agency data exchange layer with API connectors	Phase 2	Dev Team
D-12	Telegram Bot Application	Citizen-facing Telegram bot for application submission and tracking	Phase 2	Dev Team
D-13	Web Portal	Citizen-facing web portal for detailed service access	Phase 3	Dev Team
D-14	Monitoring Dashboard	Management dashboard for SLA, KPI and application tracking	Phase 3	Dev Team

5. Project Timeline

5.1 Phase Overview

Phase	Timeline	Key Activities
Phase 1: Foundation	Month 1-3	Requirements gathering, ToR/BRD/SDD preparation, system architecture design, development environment setup, vendor selection if needed
Phase 2: Core Development	Month 4-6	Telegram bot development, core application processing workflow, database implementation, integration with Social Protection Fund and Ministry of Education APIs, FRD and SRS finalization
Phase 3: Integration and Testing	Month 7-9	Web portal development, multi-agency integration testing, UAT execution, monitoring dashboard development, my.gov.az SSO integration
Phase 4: Go-Live and Optimization	Month 10-12	User training, pilot launch with limited user group, full go-live, performance optimization, accessibility improvements, post-launch monitoring

5.2 Key Milestones

ID	Milestone	Date	Description
M-01	ToR approved	End of Month 1	Project governance established, scope confirmed
M-02	BRD and SDD approved	End of Month 2	Business and service design requirements finalized
M-03	System architecture approved	End of Month 3	Technical foundation ready for development
M-04	Telegram bot MVP ready	End of Month 5	Core digital channel operational for testing
M-05	Core workflow operational	End of Month 6	End-to-end application processing functional
M-06	UAT completed	End of Month 9	System tested and validated by business stakeholders
M-07	Pilot launch	Month 10	Limited user group begins using the system
M-08	Full go-live	Month 12	System available to all citizens nationwide

6. Team Structure and Roles

6.1 Project Organization

The project team operates under a matrix structure where team members are assigned from multiple organizations. The State Employment Agency provides the product owner and business domain experts. The IT department provides the development team. The Innovation and Digital Development Agency provides methodology oversight and digital service standards guidance.

6.2 Roles and Responsibilities

Role	Organization	Responsibilities
Project Sponsor	State Employment Agency management	Strategic direction, budget approval, escalation resolution
Product Owner	State Employment Agency	Business requirements prioritization, acceptance decisions, stakeholder alignment
BA Lead	Business Analysis Team	Requirements elicitation, documentation (ToR, BRD, SDD, FRD, SRS), stakeholder communication, UAT coordination
Technical Lead	IT Department	System architecture design, technology selection, technical oversight
Development Team	IT Department	Software development, database implementation, API

		development, integration
QA Specialist	IT Department	Test planning, test execution, defect tracking
UX/UI Designer	External / IT Department	User interface design, citizen experience optimization
Agency Liaison	Innovation and Digital Development Agency	Methodology guidance, standards compliance review

6.3 Governance Structure

Forum	Frequency	Participants	Purpose
Steering Committee	Monthly	Project Sponsor, Product Owner, BA Lead, Tech Lead, Agency Liaison	Strategic decisions, budget review, risk escalation, scope changes
Sprint Review	Bi-weekly	Product Owner, BA Lead, Development Team	Sprint demo, backlog review, acceptance decisions
Technical Review	Weekly	Tech Lead, Development Team, BA Lead	Technical progress, architecture decisions, integration status
Stakeholder Sync	Monthly	Product Owner, BA Lead, Regional Office representatives	User feedback, process improvement, training needs

7. Stakeholder Communication

7.1 Communication Plan

Stakeholder	Channel	Frequency	Content
State Employment Agency management	Steering Committee	Monthly	Project status report, risk register, budget status
Ministry of Labour	Alignment meeting	Monthly	Policy updates, regulatory changes, progress overview
Innovation Agency	Progress review	Monthly	Methodology alignment, standards compliance, design review
Product Owner	Sprint review	Bi-weekly	Sprint demo, backlog priorities, acceptance decisions
Development Team	Stand-up / Sprint planning	Daily / Bi-weekly	Task progress, blockers, technical decisions
Regional Offices	Feedback session	Monthly	User feedback, process issues, training needs
Partner agencies	Integration sync	Monthly	API status, data quality, testing coordination

7.2 Reporting

The BA Lead is responsible for preparing the following reports: a monthly project status report covering progress against milestones, risks and issues; a bi-weekly sprint summary including completed and planned deliverables; and an ad-hoc issue escalation report when critical risks or blockers require steering committee attention. All reports follow the template defined by the Innovation and Digital Development Agency.

8. Risk Management

8.1 Risk Register

ID	Risk	Probability	Impact	Mitigation
R-01	Delays in government database API access	High	High	Early engagement with partner agencies, fallback manual verification process
R-02	Scope creep from stakeholder requests	High	Medium	Formal change request process, steering committee approval for scope changes
R-03	Low digital adoption by citizens	Medium	High	Awareness campaign, simplified onboarding, ASAN Service support channel
R-04	Data quality issues in source databases	Medium	High	Data cleansing before integration, validation rules, error handling
R-05	Resource availability constraints	Medium	Medium	Early resource planning, cross-training, contingency allocation
R-06	Regulatory changes during project	Low	Medium	Regular policy review, flexible design approach, Agency liaison
R-07	Technology platform instability	Low	High	Architecture review, load testing, scalable infrastructure design

8.2 Issue Escalation

Issues that cannot be resolved at the team level within 5 business days must be escalated to the steering committee. Critical issues that threaten project milestones or budget must be escalated within 24 hours. The escalation path follows: team level, to BA Lead and Tech Lead, to Product Owner, to Steering Committee, to Project Sponsor.

9. Quality Standards

9.1 Documentation Standards

All project documents must follow the templates and standards defined by the Innovation and Digital Development Agency. Documents are written in English (professional working proficiency level) and use Calibri font for body text. Each document includes version control, author information, review history and approval signatures.

9.2 Development Standards

Area	Standard
Code quality	Code review required for all pull requests, minimum 80% test coverage
API design	RESTful API following OpenAPI 3.0 specification
Data security	Encryption for data in transit (TLS 1.2+) and at rest, role-based access control
Accessibility	WCA 2.1 AA compliance for web portal (Phase 3 target)
Performance	API response time under 500ms, page load time under 3 seconds
Version control	Git-based version control with branching strategy aligned to sprint cycles

9.3 Acceptance Criteria

Each deliverable must meet the following acceptance criteria before it is considered complete: the deliverable has been reviewed by the Product Owner, all feedback has been addressed, the document has been updated to the latest version, and formal sign-off has been received. For technical deliverables, UAT must be completed with a pass rate of at least 95% of test cases before go-live approval.

10. Approval

This Terms of Reference has been reviewed and approved by the following stakeholders. By signing below, each stakeholder confirms their agreement with the project scope, objectives, deliverables and timeline as described in this document.

Role	Organization	Signature	Date
Project Sponsor	State Employment Agency	_____	____/____/_____
Product Owner	State Employment Agency	_____	____/____/_____
BA Lead	Business Analysis Team	_____	____/____/_____
Technical Lead	IT Department	_____	____/____/_____
Agency Liaison	Innovation and Digital Development Agency	_____	____/____/_____

10.1 Document Revision History

Version	Date	Description	Author	Status
1.0	May 2026	Initial version	BA Lead	Approved